

Global Strategy: Class #1

Mapping the Global Arena

Ferrero Group

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What comes to your mind when you think about "Global Management"?



<https://pollev.com/lspengeluppe>



https://www.polleverywhere.com/free_text_polls/IGCtx9MZXpp5ZVMAkMXt

Is Globalization Over?

It's a Flat World, After All
(Friedman, 2005)

VS

Why the World Isn't Flat
(Ghemawat, 2007)



Oxford-Style Debate Rules

1. Motion: The debate is centered on a clear, debatable statement.

In this case: ***“Globalization is over.”***

2. Teams: Proposition (For the motion) and **Opposition** (Against the motion). Each team typically consists of **2–3 speakers**.

3. Speaking Format: Each speaker has a fixed time limit (e.g., **3-4 minutes**) to present their case.

4. Audience Q&A: Audience members may ask questions or raise challenges after the main speeches (e.g., **10 minutes**).

5. Closing Statements: Each team gives a **1-minute** closing summary to reinforce their position and respond to key points.

6. Voting: Conduct an **initial vote** before the debate (show of hands). Conduct a **final vote** after the debate. **The winner** is the team that **swayed more audience members** to their side.

7. Rules of Engagement: No interruptions during speeches. Respectful, evidence-based argumentation. Speakers may use written notes, but should avoid reading full scripts or AI responses.

Is Globalization Over? It depends...

International Relations Main Theoretical Perspectives

	Realism	Liberalism
Main Actor (Unity of Analysis)	States	States, multinational corporations, multilateral institutions, and individuals
Core Beliefs	Self-interested sovereign States compete for survival, security, and power	Spread of democracy, economic interdependence, international organizations assure peace
Main Instruments	Military power, war, and state diplomacy	International institutions and global trade
Nature of the I.R.	Conflictive	Cooperative
Is globalization still relevant?	Can exist if it does not threaten states survival and does not alter the international balance of power	Economic and social interconnectedness guarantees peace and prosperity to all

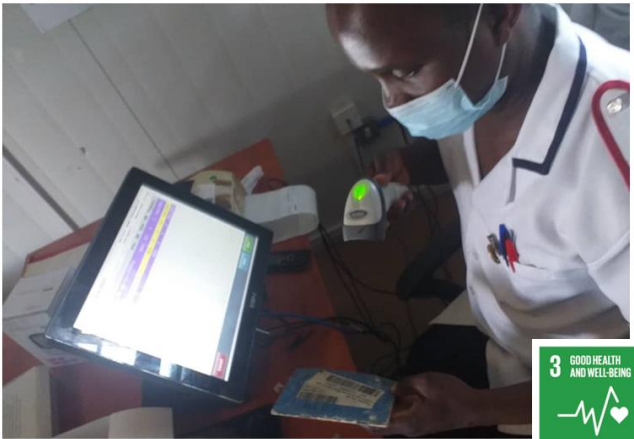
Note: Developed by the author, based on Baylis, Smith, and Owens (2008). "The Globalization of World Politics: An Introduction to International Relations". Ed. Oxford. 4th Edition.

Is Globalization Over? It depends...

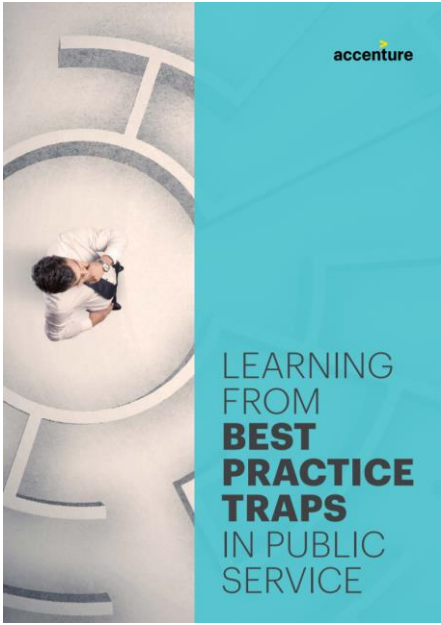
International Relations Main Theoretical Perspectives				
	Realism	Liberalism	Marxism	Constructivism
Main Actor (Unity of Analysis)	States	States, multinational corporations, multilateral institutions, and individuals	Social classes	Ideas, social movements, and social identities
Core Beliefs	Self-interested sovereign States compete for survival, security, and power	Spread of democracy, economic interdependence, international organizations assure peace	International class struggle. Division of the world into core and peripheral areas. International capitalism (superstructure) works to preserve domination and exploration	International politics is shaped by persuasive ideas, collective values, culture, and social identities
Main Instruments	Military power, war, and state diplomacy	International institutions and global trade	Resistance, revolution, and emancipation	Ideas and values
Nature of the I.R.	Conflictive	Cooperative	Exploitative	Dubious
Is globalization still relevant?	Can exist if it does not threaten states survival and does not alter the international balance of power	Economic and social interconnectedness guarantees peace and prosperity to all	Its not a new phenomena, it is the continuing phase of capitalism's imperialistic expansion	It is the diffusion process of Western ideas and norms. It will suffer resistance from individuals and movements with different identities

Note: Developed by the author, based on Baylis, Smith, and Owens (2008). "The Globalization of World Politics: An Introduction to International Relations". Ed. Oxford. 4th Edition.

A Little About Me



Picture taken by Abdallah Chilungu.



What to expect from this class...

Strange Brazilian accent

Typoos and grammar many mistakes

Neologisms, or better said, words that do not exist (at least not in English)

and ...

Some Global Management content.

**Please, stop me and ask
for clarifications!**

 capivara edition 

capivara

/capivara/ (fau.)

1. giant hamsters found in Brazil.
2. Brazilian patrimony.



@GreengoDictionary

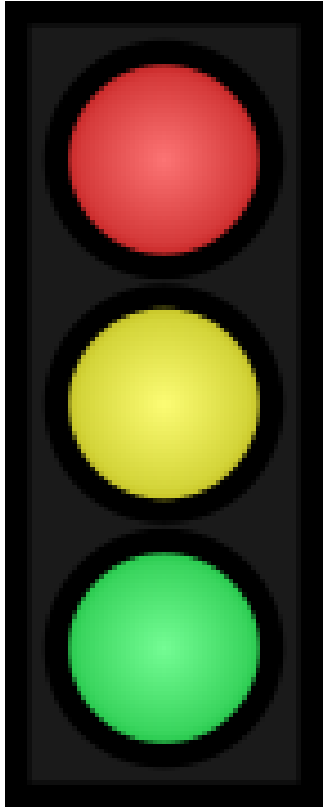


Pedagogical Approach

- Socratic learning method;
- Oxford-style debates (based on argumentation considering distinct points of view);
- Theory readings, cases, caselets, videos, podcasts, and documentaries;
- In-class short exercises;
- Ludic dynamics and funny examples;
- Open discussion involving country examples;
- Discussion even on “polemic” topics;
- Respectful, well-argued reasoning is mandatory!
- **The main objective** is to help you navigate theories and frameworks and to critically reason about international management topics.



What We Are Trying to Solve in the Global Module

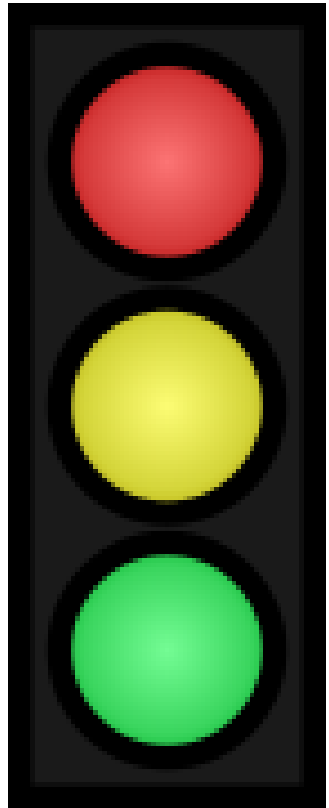


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Ferrero Group
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart
- McDonald's
- Tata Group
- Natura

Roadmap of the Global Module

Class 1. Mapping the Global Arena: Ferrero Group case

Class 2. The Institutional Environment in Global Markets: Corruption podcast

Class 3. Distances in Global Market: European Super League caselet

Class 4. International Strategies and Governance Structures: Apple and Zara caselets

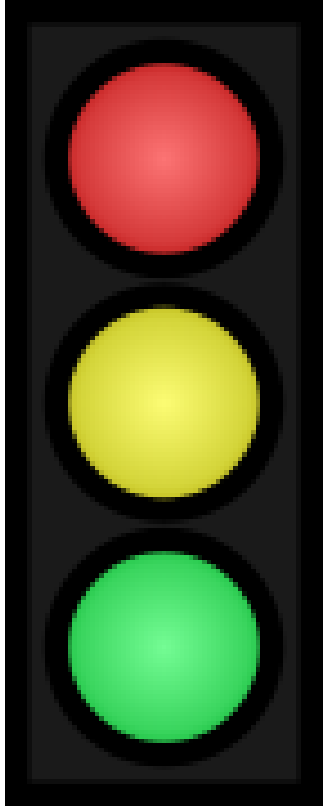
Class 5. International Strategies and Entry Modes: Walmart case and video

Class 6. Institutional Voids, Political Risk, and Business Groups:
McDonald's video-case and Tata Group case

Class 7. Climate Change, Inclusive Innovation, and Stakeholder Management: Natura case

FERRERO



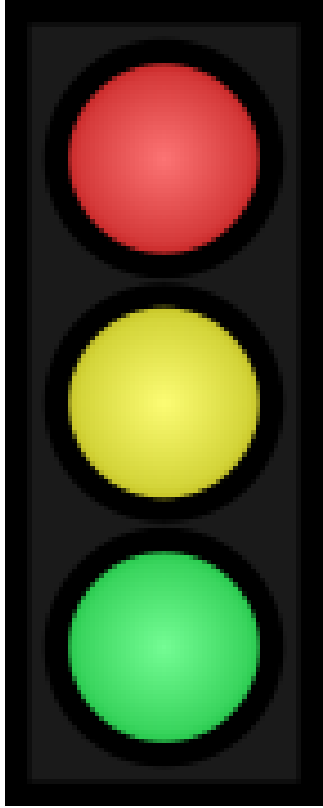


Why did Ferrero go global?

Where should Ferrero expand?

How should Ferrero expand?

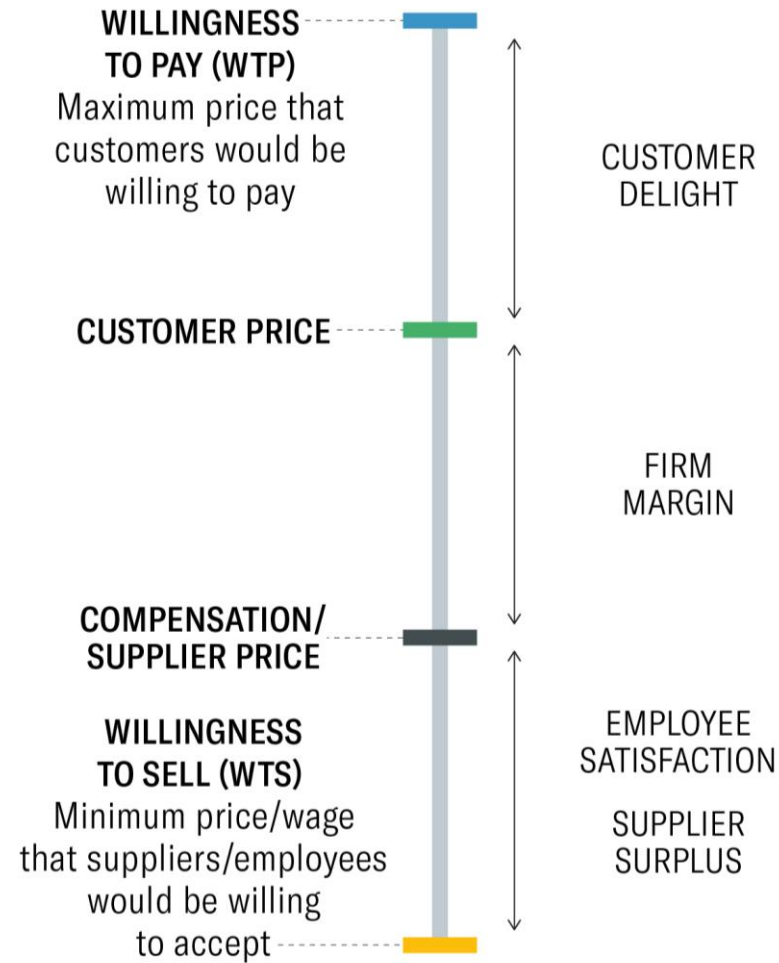
So...



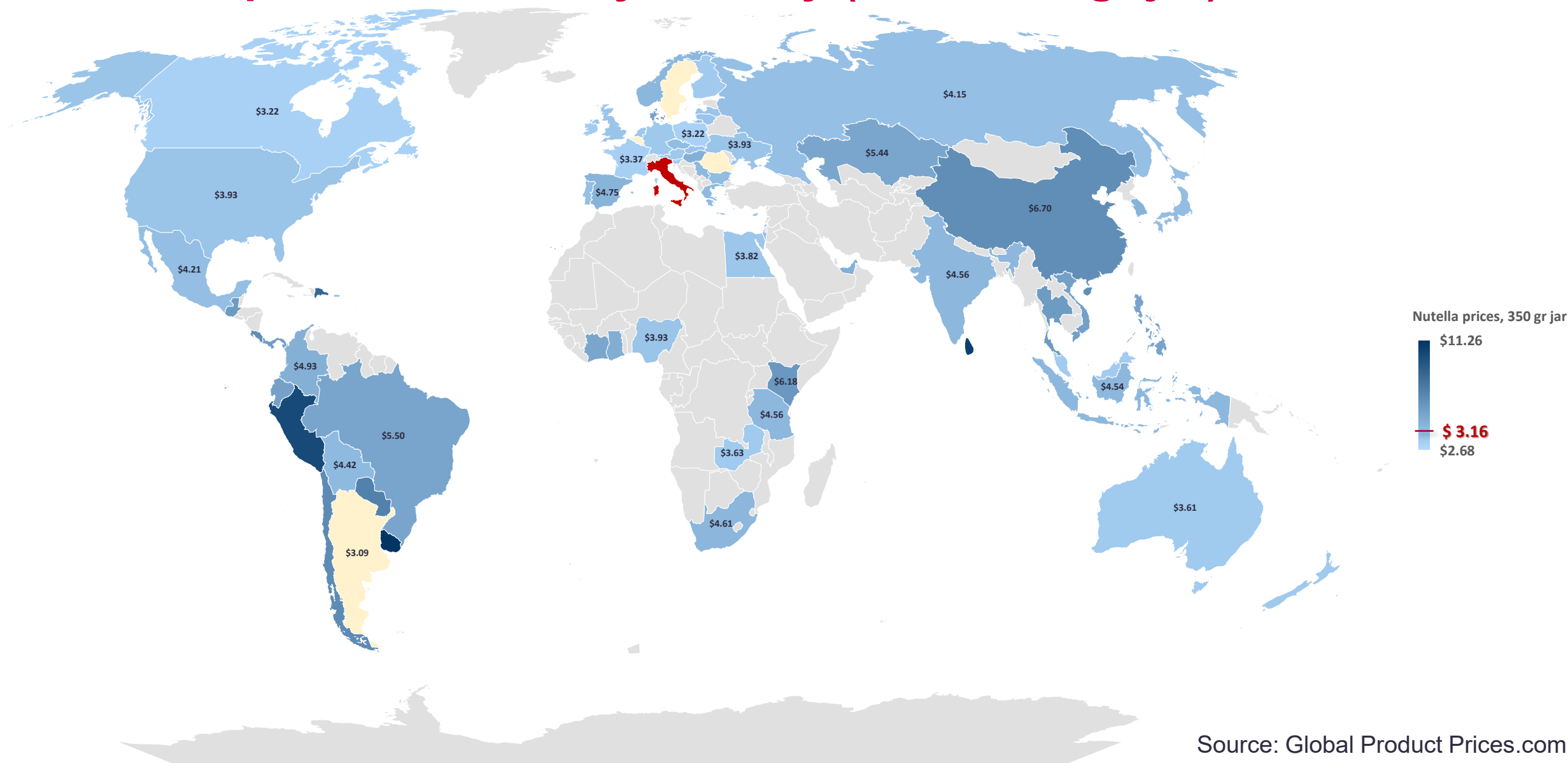
Why did Ferrero go global?

Why Expand: ADDING Value Framework

A dding Volume (Growth)
D ecreasing Costs / Lower WTS
D ifferentiating / Increase WTP
I mproving Industry Attractiveness
N ormalizing Risk via Diversification
G enerating and Upgrading Knowledge / Capabilities



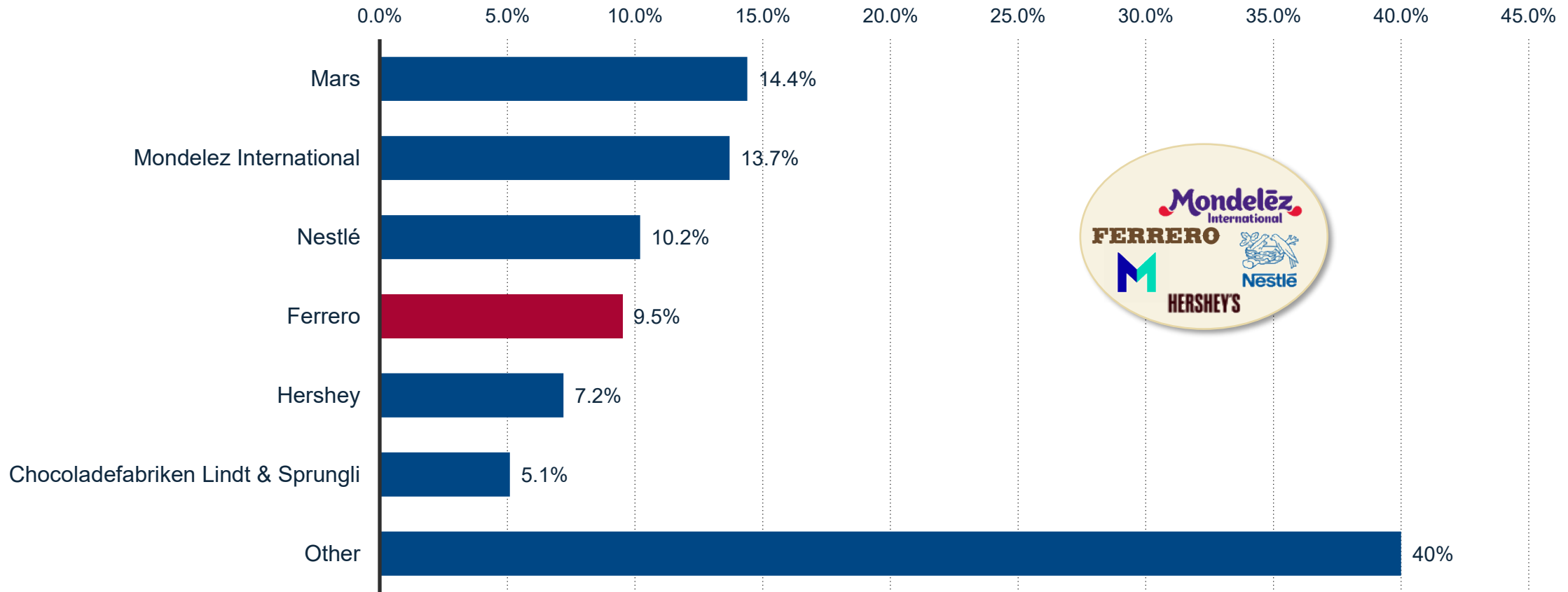
Nutella prices in 2024, by country (US\$ for 350gr jar)



Source: Global Product Prices.com

Cocoa and Chocolate Global Market: Market Share of Leading Chocolate Companies

Leading **chocolate companies** worldwide 2016, based on market share



Note: Worldwide; 2016

Source(s): Statista; Euromonitor; Wall Street Journal; Statista estimates; [ID 629534](#)

Source: Van Wassenhove, Pot, Dewilde, & Breugem. (2021)
Are Chocolate Eaters Really SDG Smart? INSEAD Case 6604.

Why Expand: ADDING Value Framework

A dding Volume (Growth)	• Offload existing capacity through exports. Saturated domestic market? • Adding volume from other countries high demand
D ecreasing Costs / Lower WTS	• Avoid transport costs and tariffs by producing in foreign markets? • Consolidation of suppliers and distributors – bargaining power
D ifferentiating / Increase WTP	• “Premium” chocolate enjoys higher margins: <i>“Advantage of Foreignness”</i>
I mproving Industry Attractiveness	• Guarantee market position/concentration in the chocolate industry (barrier against new entrants) • Keeping up with Hershey’s, Mars, Mondeléz, & Nestlé?
N ormalizing Risk via Diversification	
G enerating and Upgrading Knowledge / Capabilities	

Flashcards

Ferrero Acquires WK Kellogg Co for \$3.1 Billion

In September 2025, Ferrero completed its acquisition of WK Kellogg Co (Frosted Flakes, Froot Loops, Rice Krispies, Special K, Raisin Bran). The deal adds 3,000 employees and expands Ferrero into the North American breakfast cereal category, a 40% premium over trading price.

Sources: [Ferrero Group](#) and [CNBC](#)

Question: “Is paying a 40% premium justified by ADDING logic?”

ADDING ANALYSIS

A — Adding Volume: Access to \$10B+ US cereal market. Breakfast is a new consumption occasion beyond snacking/confectionery.

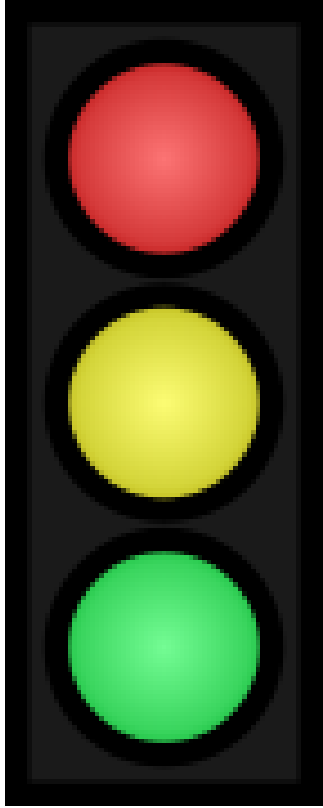
D — Decreasing Costs: Shared North American distribution infrastructure with existing Ferrero brands (Nutella, Ferrero Rocher).

D — Differentiating: Combines premium confectionery positioning with everyday breakfast brands, full day coverage.

I — Industry: Consolidation in packaged foods; blocks competitors from acquiring Kellogg assets.

N — Normalizing Risk: Diversifies away from cocoa/hazelnut price volatility into grain-based products.

G — Knowledge: Gains cereal manufacturing, grain procurement, and US retail relationship expertise.



Where should Ferrero expand?



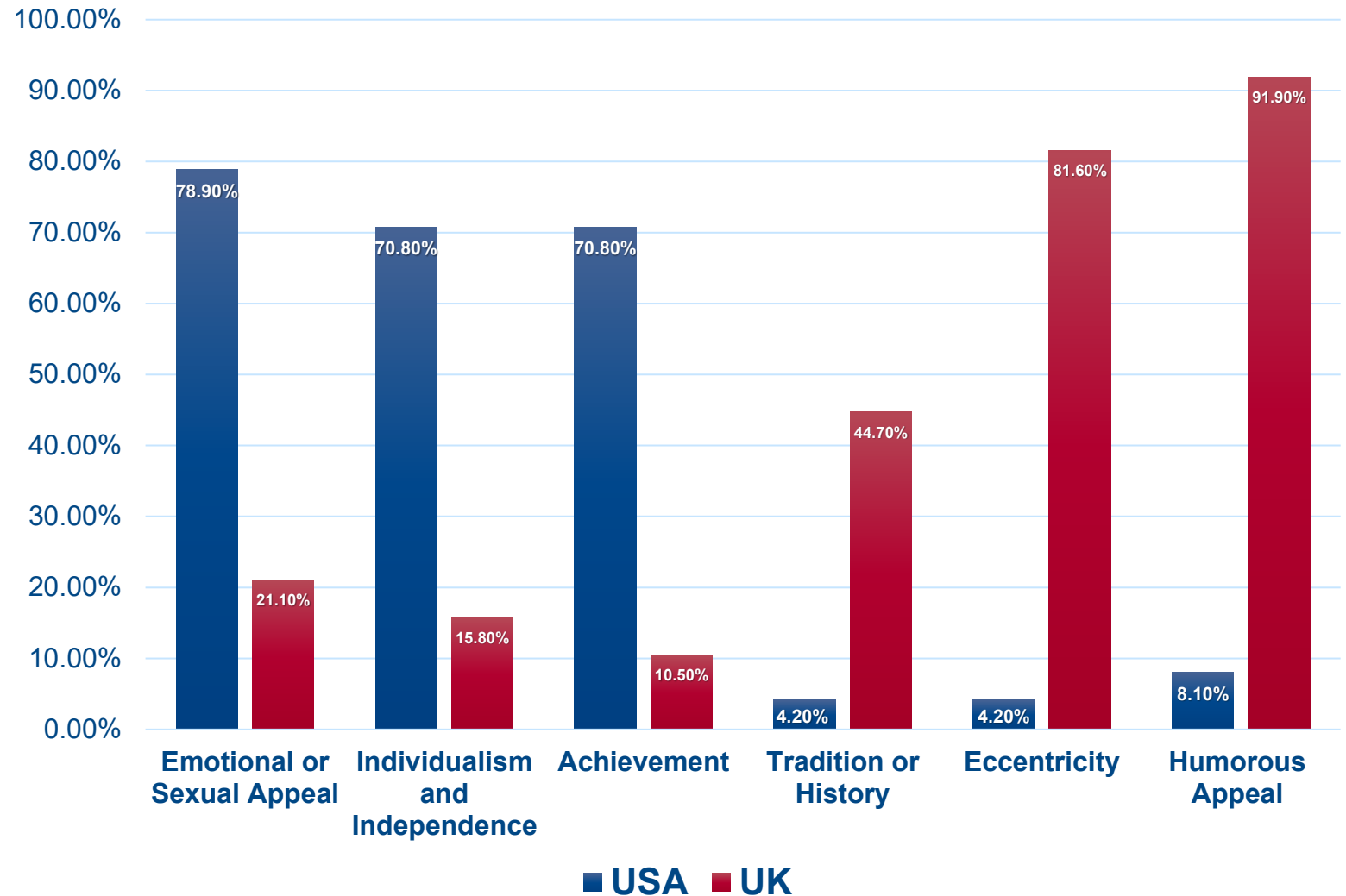


Cultural Differences in US vs. UK Commercials

“(...) Great Britain and the United States differ enough that a standardized advertising approach among the two countries may not be feasible.

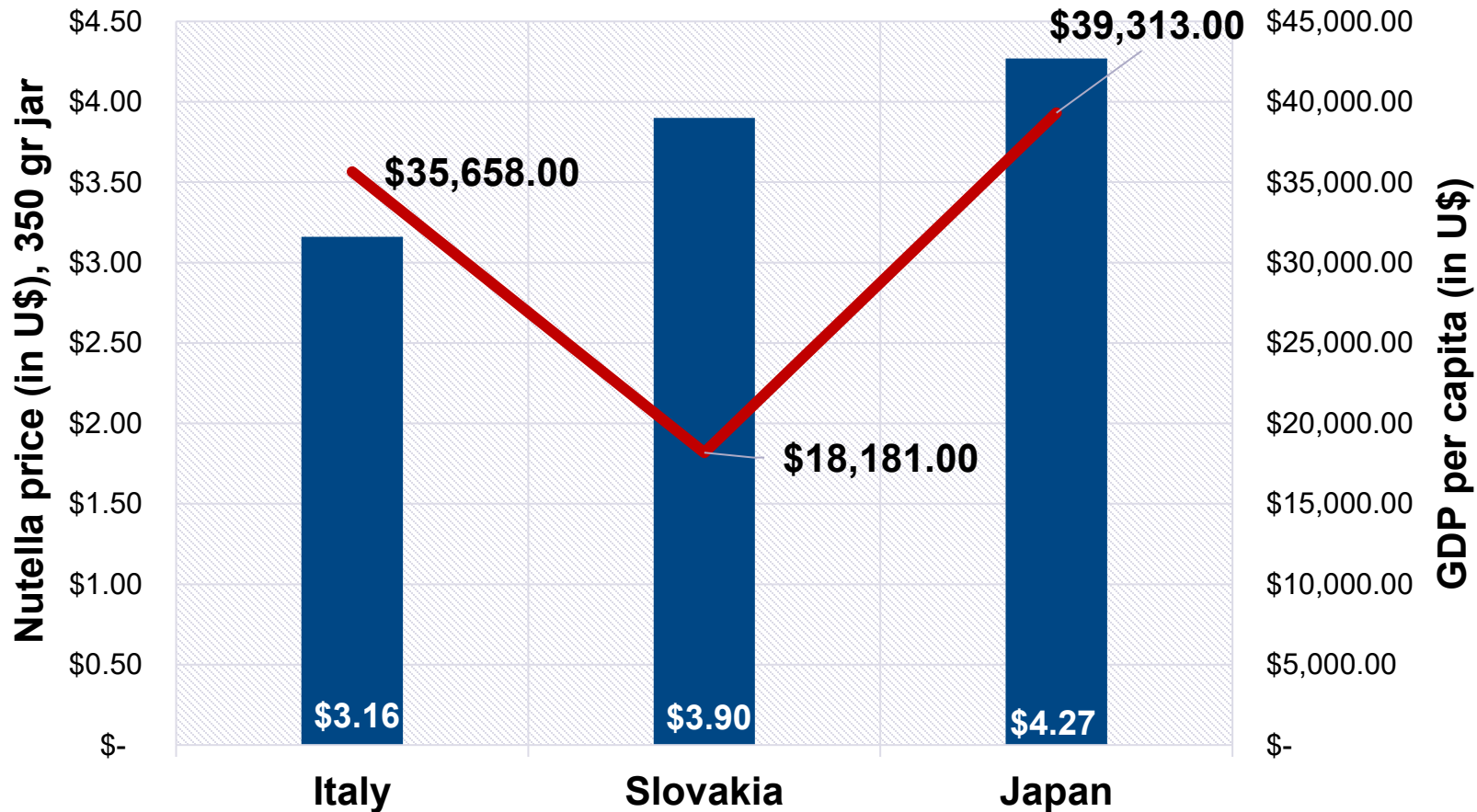
The idea that consumers' needs and desires are basically the same everywhere and, by using a uniform marketing approach, an international advertiser can enhance its economic effectiveness clearly will not work in all markets or for all products.”

(Caillat & Mueller, 1996)

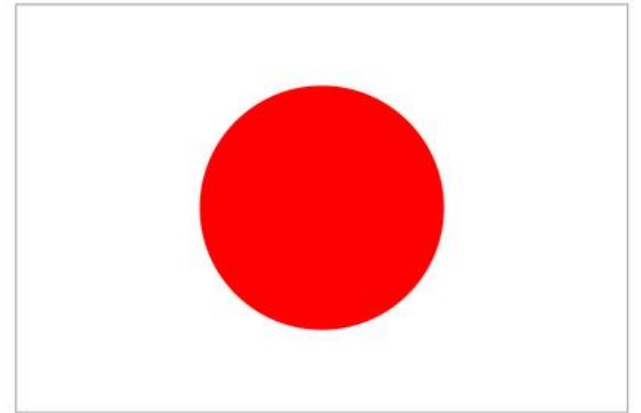


Note: Based on Caillat and Mueller (1996) "Observations: The Influence of Culture on American and British Advertising: An Exploratory Comparison of Beer Advertising." *Journal of Advertising Research*. 36(3), 79-88.

CAGE Framework

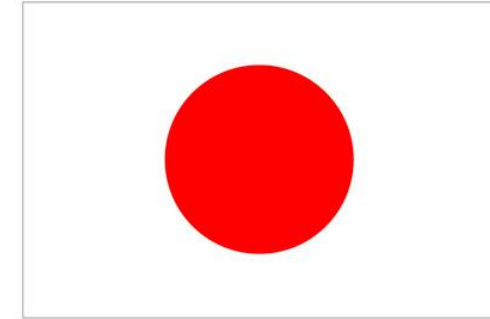


- Where should Ferrero Group expand?



CAGE Framework

Some key factors for the chocolate industry's distances!



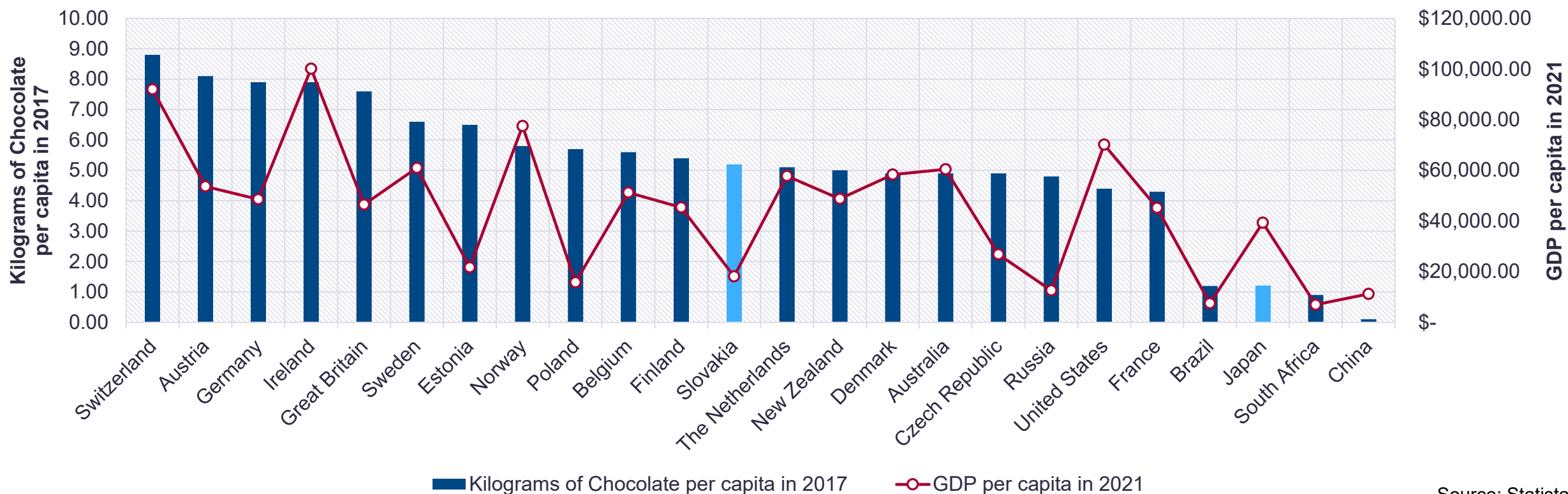
Cultural	Administrative	Geographic	Economic
• Taste preferences • Loyalty to local brands • Language (labeling, advertising) • Differences in consumption patterns (When? Where? Etc?) • Religion prohibitions	• Tax regime • Restrictions on sales and advertising activities • Membership in trade block • Colonial ties • Impact of immigrant community in early exports	• Shipping cost and time lag • Climate impacts on perishable product • Seasonality	• Disposable income differences • Channel structure (e.g., level or organized retail development) • Consumption per capita

CAGE Framework

CAGE should be done at the Industry Level!

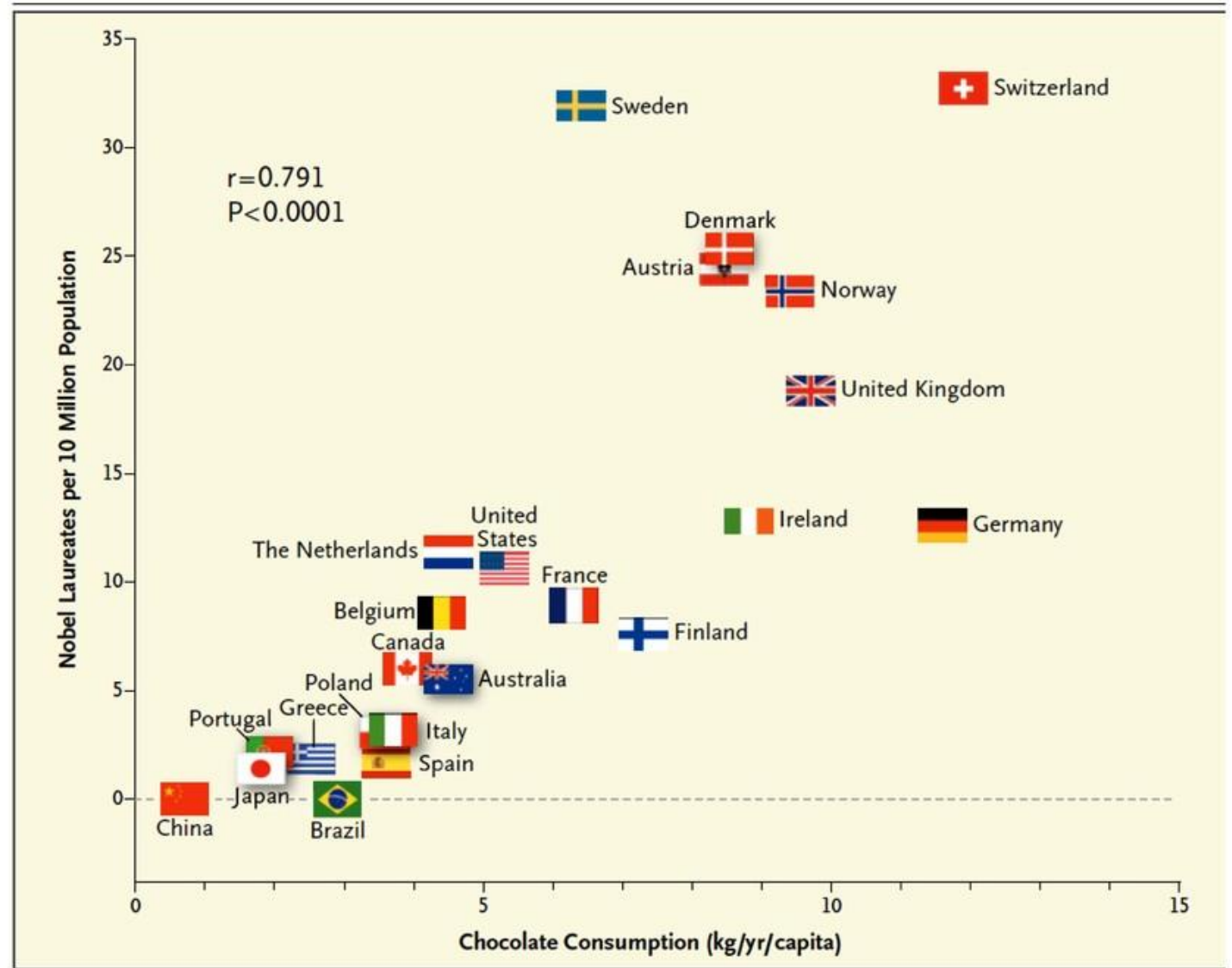
Slovakia has half of Japan's GDP per capita but consumes five times more chocolate per capita a year.

Global chocolate consumption per capita by GDP per capita



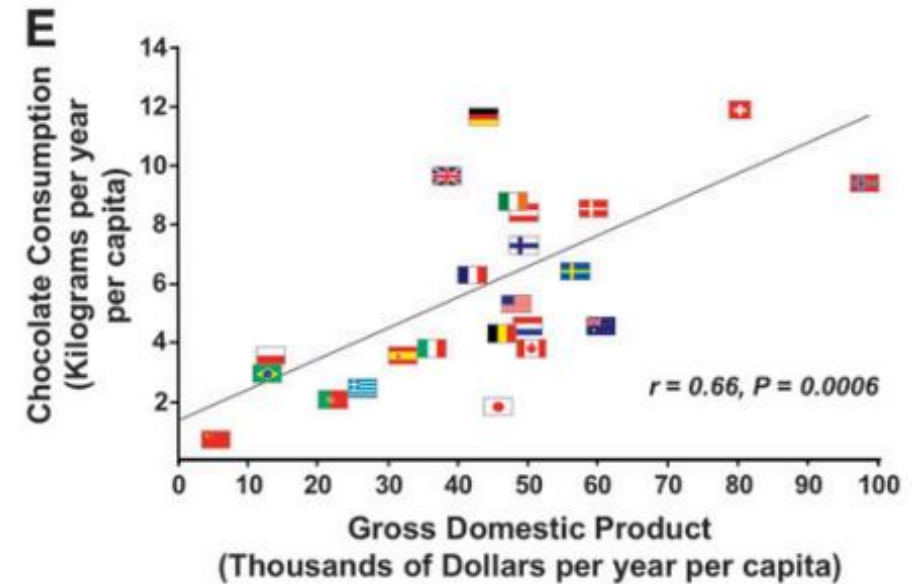
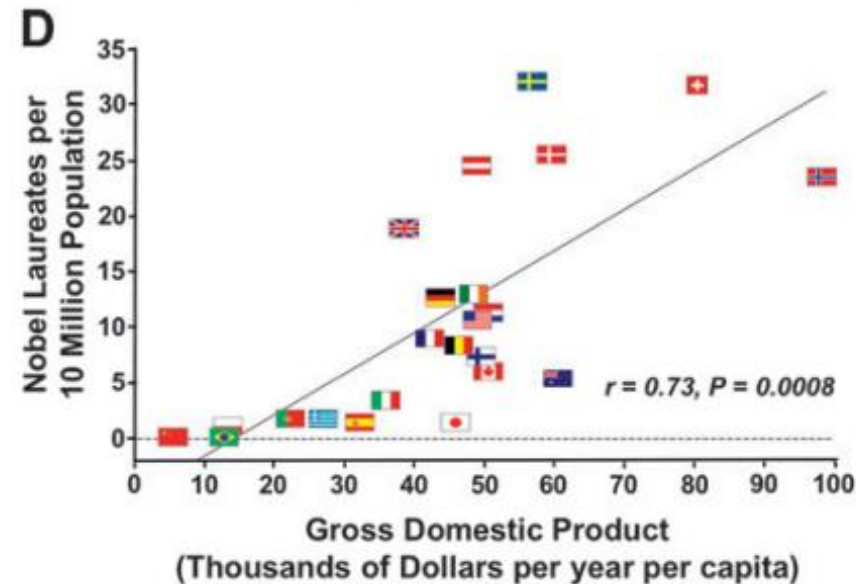
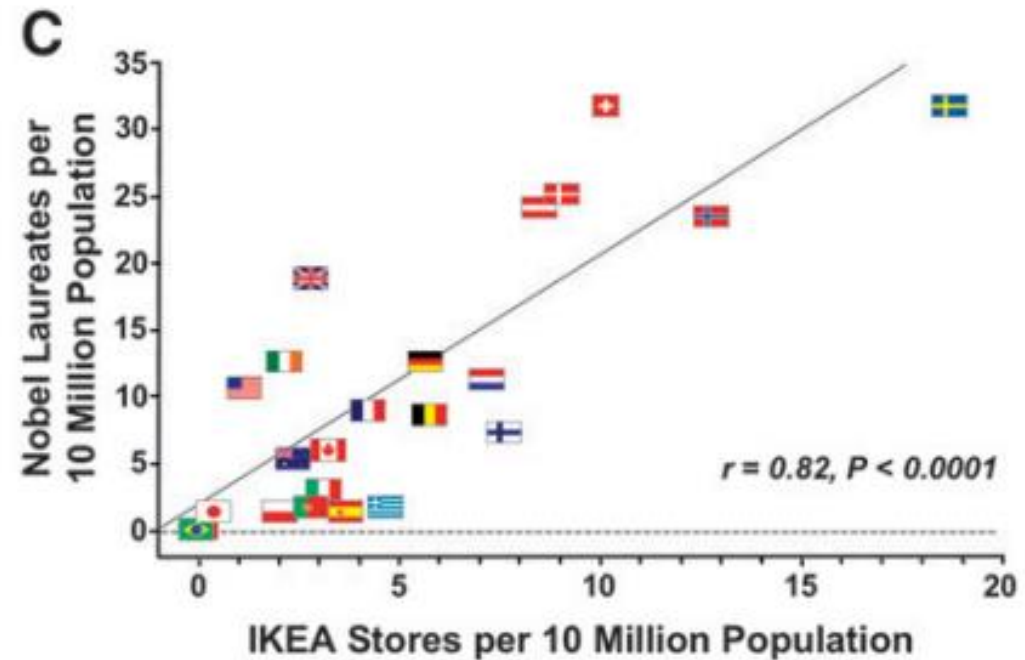
Correlation is not Causation!

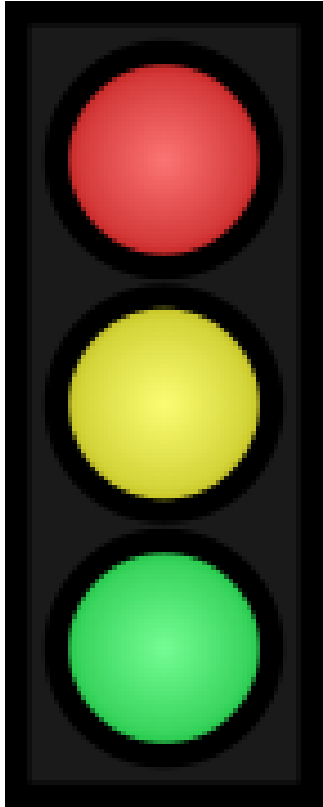
Messerli, F. H. (2012). [*Chocolate consumption, cognitive function, and Nobel laureates*](#). New England Journal of Medicine, 367(16), 1562-1564.



Omitted Variable Bias

Maurage, P., Heeren, A., & Pesenti, M. (2013). [Does chocolate consumption really boost Nobel award chances? The peril of over-interpreting correlations in health studies.](#) The Journal of Nutrition, 143(6), 931-933.





How should Ferrero expand?

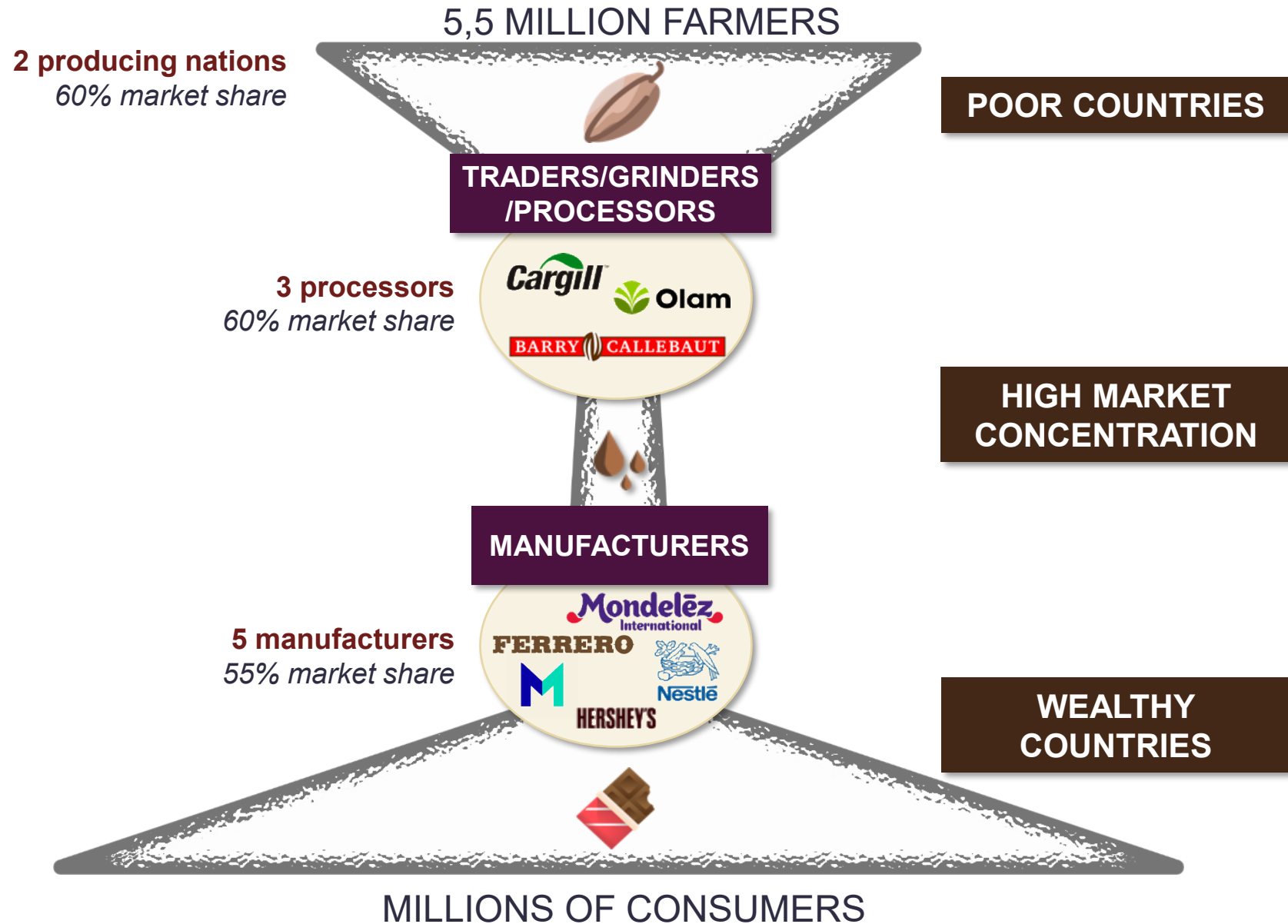
Should Ferrero Acquire Turkish Oltan?

Jain, T. Hazra, J. (2016). *Ferrero Group: Securing Supply for Hazelnuts*. Indian Institute of Management Bangalore. Case Study 565



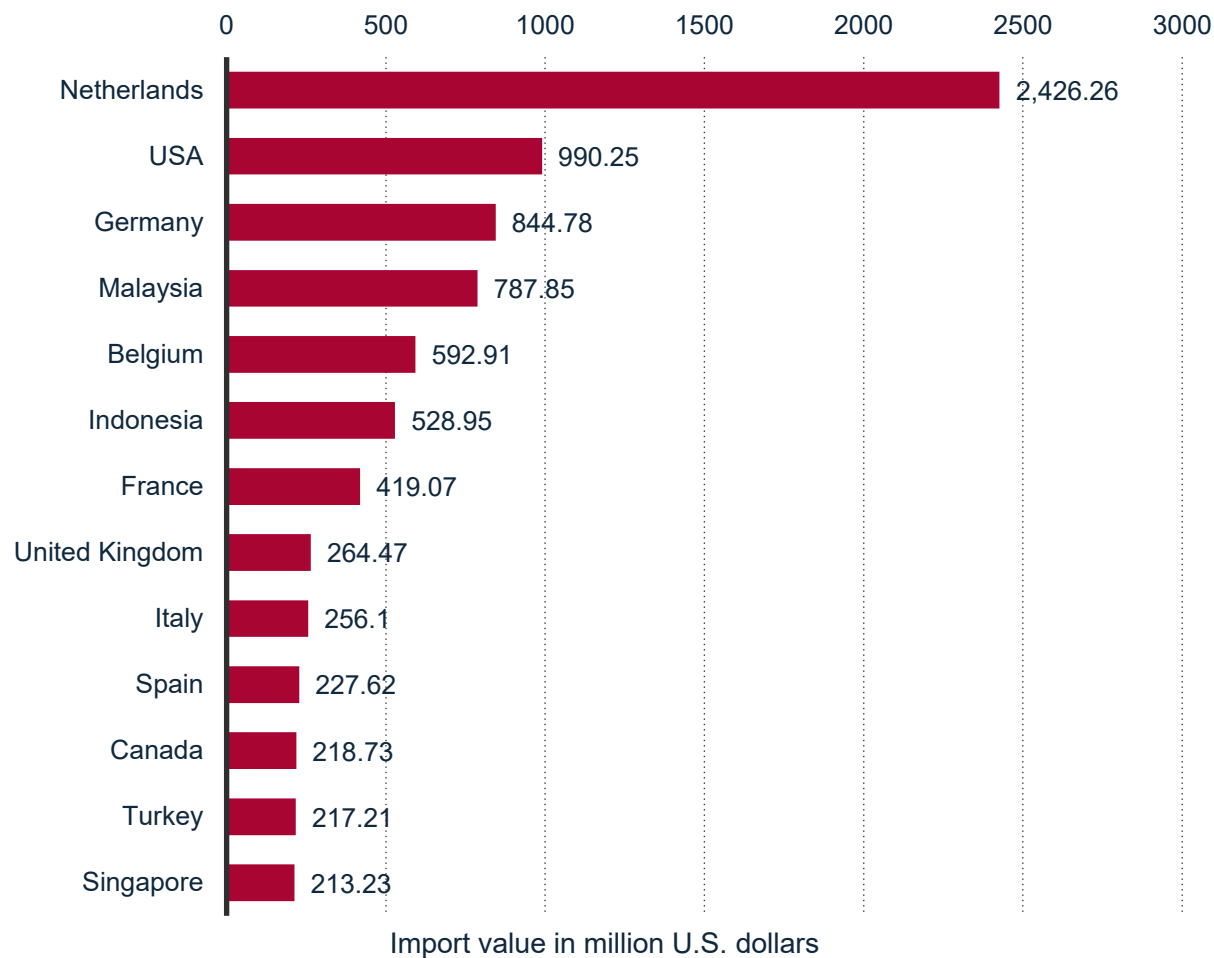


How about Cocoa? The Bean-to-bar Trajectory



Cocoa and Chocolate Global Market: Import and Export

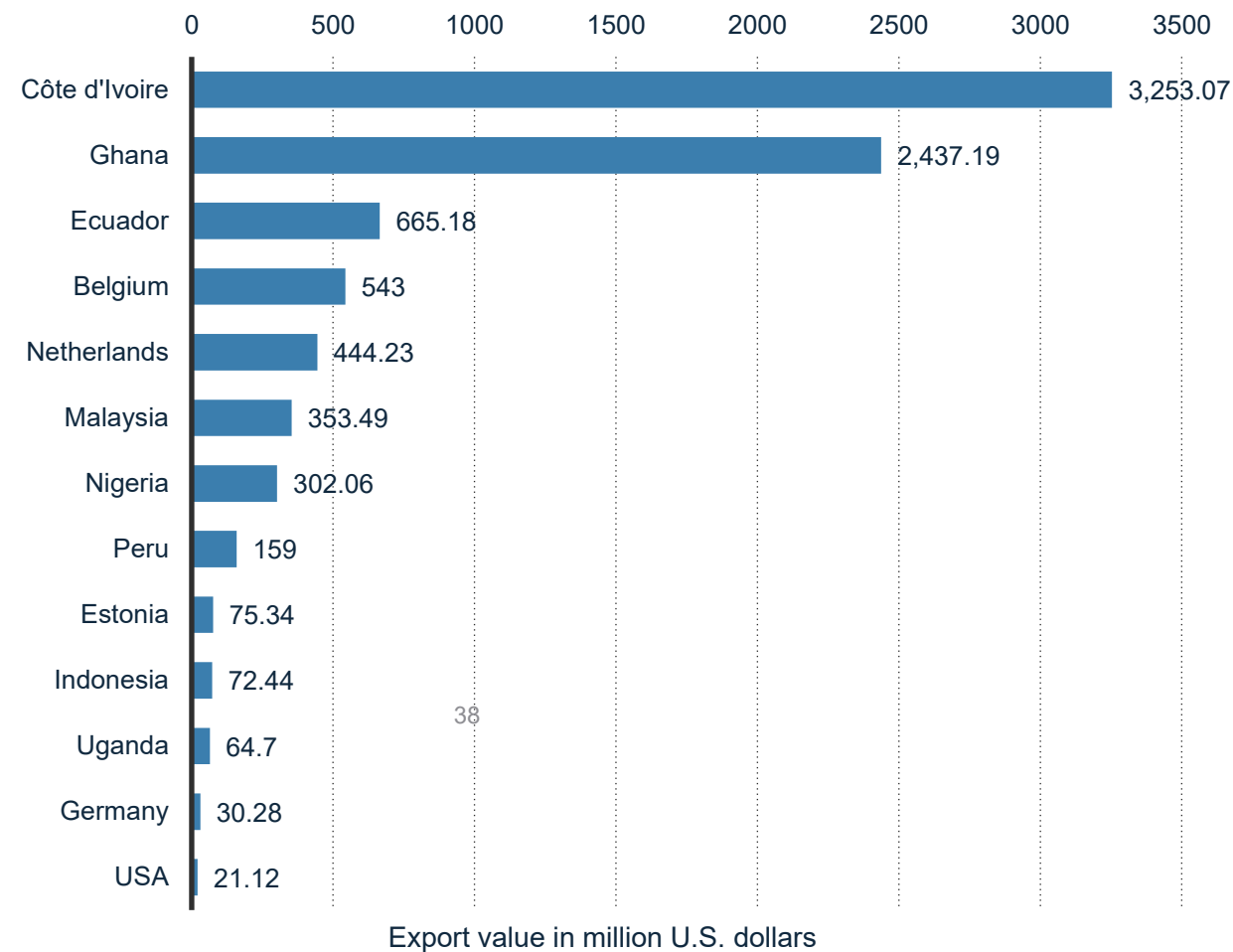
Leading **importers** of cocoa beans worldwide in 2018



Note: Worldwide; 2018

Source(s): Statista: UN Comtrade; [ID 1112363](#)

Leading **exporters** of cocoa beans worldwide in 2018



Note: Worldwide; 2018

Further information regarding this statistic can be found on [page 62](#).

Source(s): Statista: UN Comtrade; [ID 1112357](#)



In-house sustainability programs compared





““The industry [...] should pay a greater attention to the root causes of deforestation and child labour [...], i.e. poverty and landlessness; they should therefore increase substantially farmgate prices, contributing to a living income of the farmers.”

-- Michel Arrion,
Executive Director International
Cocoa Organisation (ICCO)

Flashcards

Cocoa Prices Hit 60-Year High, Then Crash

Cocoa futures reached nearly \$13,000/ton in late 2024 (a 60-year record), driven by El Niño, crop disease, and West African supply tightness. Prices crashed to \$5–6K by early 2026. Hershey posted a 26.6% drop in confectionery sales; Mondelez warned of 10% earnings decline. US chocolate prices still up 14% YoY in early 2026.

Sources: [Confectionery News](#) and [J.P. Morgan](#)

Question: “Given this crisis, would you advise Ferrero to integrate *further* into cocoa (like they did with hazelnuts), or diversify *away* from cocoa? Why?”

Framework Analysis: TCE + ADDING

TCE — Vertical Integration: Ferrero’s 97% cocoa traceability and hazelnut vertical integration (Oltan acquisition) look prescient. Hierarchy protects against commodity shocks.

N — Normalizing Risk: Ferrero’s WK Kellogg acquisition (grain-based) diversifies away from cocoa dependence.

ADDING context: Ferrero grew revenue 4.6% to €19.3B despite the crisis. Competitors (Hershey, Mondelez) suffered more.

Flashcards

Hazelnut Sourcing Expansion to Chile & Germany Plant Modernization

Ferrero is expanding hazelnut sourcing and processing in Chile (Southern Hemisphere harvest = counter-seasonal supply) while modernizing its Stadthallendorf facility in Germany. These investments strengthen supply security and create local jobs in major markets.

Source: [Cocoa Radar](#) and [Food Navigator](#)

Cold-call: “Using the frameworks, what are the key benefits Ferrero gets from building a hazelnut supply chain in Chile?”

Framework Analysis: CAGE + ADDING + TCE

CAGE — Geographic: Chile’s Southern Hemisphere location means hazelnut harvests occur opposite to Turkey’s (the dominant supplier). Reduces geographic concentration risk.

N — Normalizing Risk: Dual-hemisphere sourcing hedges against climate events, Turkish political instability, and seasonal supply gaps.

TCE — Hierarchy: Proprietary sourcing in Chile further increase vertical integration, while reducing political risk.

Key Takeaways

- Should we go abroad? **ADDING Value Framework**
 - How much value is added: Volume, Margin (Cost, WTP, Industry attractiveness), Uncertainty/Risk, and Knowledge/Resources.
- Where should we go? **CAGE Framework**
 - Differences, not levels
 - Not “bad” or “good” markets; rather “close” or “far”
- How should we go? **TCE Framework**
- Fundamental aspect of global strategy is learning how to manage differences in order to build sustainable competitive advantage.
- **NEXT CLASS**
 - What are some of the uncertainties and risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
 - *Navigating different institutional environments and dealing with corruption*

Looking Ahead: Institutional Environment

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start quiz, you can't stop or start over
- **Next Class:**
 - Douglass North (1991) "Institutions" *Journal of Economic Perspectives*
 - Daron Acemoglu on Why Nations Fail. (MIT Channel on Youtube). Click [here](#) to watch.
 - Podcast (listen before class) "Is the U.S. Really Less Corrupt than China – and How About Russia?" (Freakonomics Radio Podcast, Episode 481). Click [here](#) to listen.

QUESTIONS

- *What are "institutions" according to North (1991)? Define.*
- *What explains the relationship between settlers' mortality in the colonial period and countries' current economic development?*
- *What are the three types of "corruption" described by Kennedy and Di Tella (2001)?*



Thank you.

Leo Pongeluppe

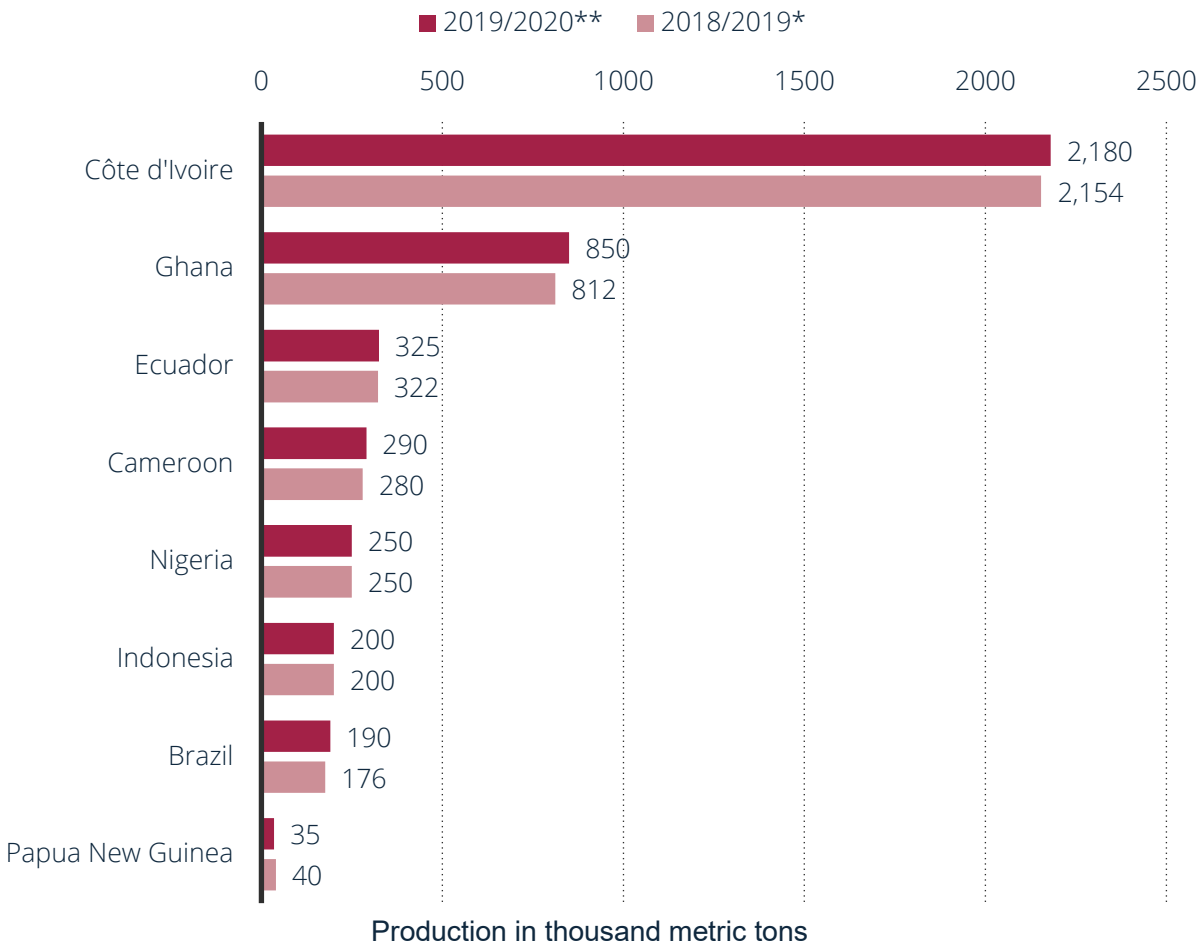
pongelup@wharton.upenn.edu



Wharton
UNIVERSITY *of* PENNSYLVANIA

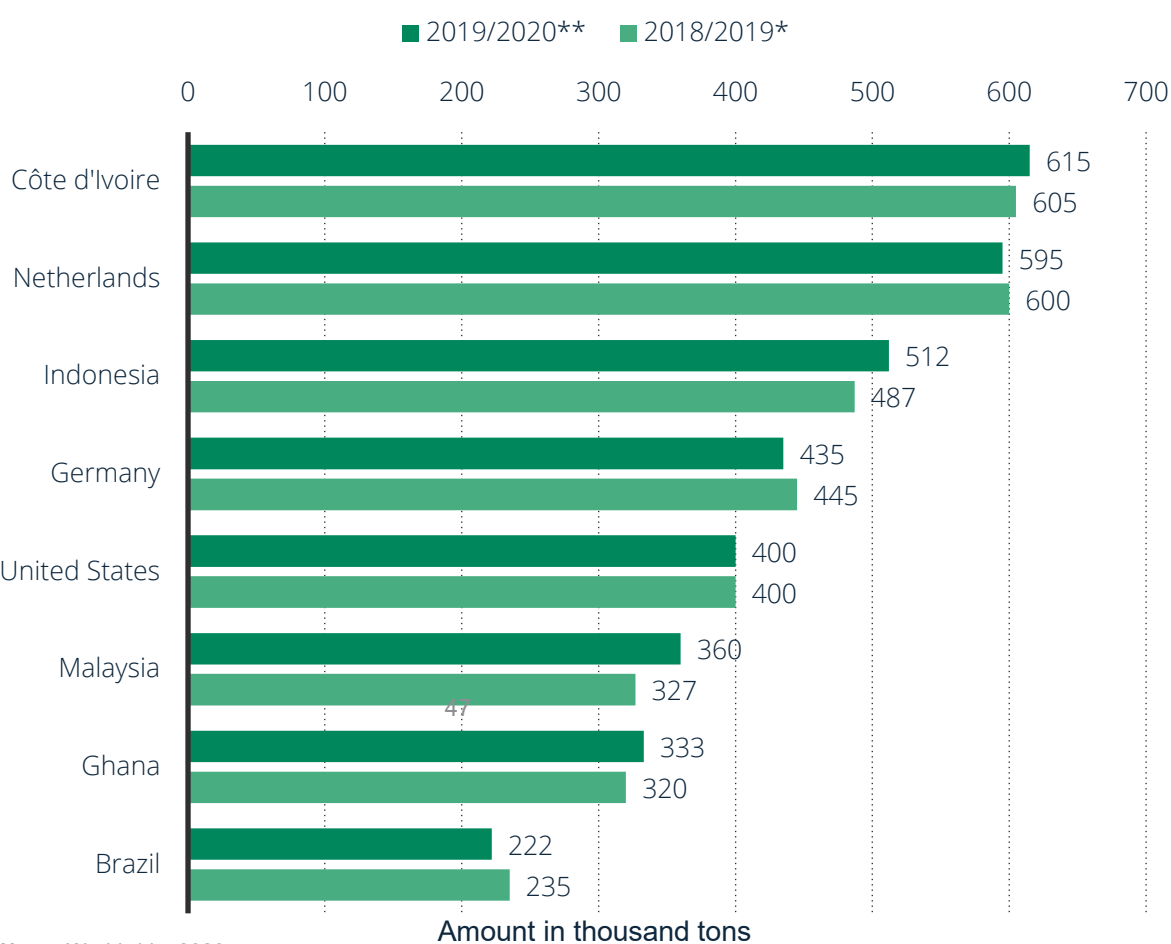
Cocoa and Chocolate Global Market: Production and Processing

Cocoa bean **production** worldwide 2018/19 & 2019/20, by country



Note: Worldwide; 2020
Further information regarding this statistic can be found on [page 44](#).
Source(s): Statista; ICCO; [ID 263855](#)

Leading countries of cocoa bean **processing** worldwide 2018/2019 & 2019/2020



Note: Worldwide; 2020
Further information regarding this statistic can be found on [page 54](#).
Source(s): ICCO; [ID 238242](#)